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Key Highlights & Summary

- **AMD's 12-Month Price Target: \$503**
- As per its latest earnings call, AMD's Data Center segment may be positioned for growth.
- As per Grandview Research, the data center GPU market is expected to grow at a CAGR of 28.5% to \$80.69B by 2030 with AMD currently being the second-largest player.
- During FY 24, AMD announced that its Ryzen AI Pro CPU processors shall power Dell's commercial personal computers (PCs).
- During FY24, AMD's revenue increased by 14% and amounted to \$25.8B (FY23: \$22.7B), while on account of higher margins, the company reported improved EPS, YoY.
- AMD faces significant competition within its growth catalyst i.e. data center, in the form of Nvidia which commands the majority of the market share.
- AMD faces economic, market and geopolitical uncertainty as it outsources its manufacturing and has operations around the globe.

Company & Management Overview

Advanced Micro Devices "AMD" is a global company that specializes in manufacturing semi-conductor devices used in computer processing. The company's product portfolio includes desktop processors, desktop graphics, laptop processors, laptop graphics, chipsets, memory products, professional graphics, and server processors. Furthermore, AMD also offers aerospace & defense, medical imaging, and digital gaming solutions. AMD is headquartered in Santa Clara, California.

Dr.LisaT.Su is the chair and chief executive officer(CEO)ofAMD. Dr.Su joined AMD in 2012 as senior vice president. Prior to serving as the CEO, she held the position of chief operating officer (COO) at the company. Dr. Su has also worked with IBM and Texas Instruments in various senior management positions. Dr. Su carries a bachelor's, Master and Doctorate degree in electrical engineering from the Massachusetts Institute of Technology (MIT). The company has succession planning in line with several experienced professionals serving in key management positions.

Growth Catalysts

AMD's Data Center segment

- AMD's data center business comprises its **Instinct datacenter GPUs**, **EPYC server CPUs**, as well as **Pensado DPUs** and **FPGAs and Adaptive SoCs**.
- **AMD's Instinct data center GPUs** include its MI450 series accelerators which target the global AI and high performance computing (HPC) market.
- **AMD's EPYC server CPUs** are targeted towards the high performance of data centers and enterprise environments.
- As per its latest earnings call, AMD projects its CPU server market growth rate to increase from 18% to 35%, annually through 2030.
- AMD is increasingly positioning itself as a full-stack AI infrastructure provider through the integration of GPUs, CPUs, networking technologies, and ROCm software solutions.

Ticker Symbol: **AMD**Current Price: **\$451.45**Current Market Capitalization **\$737.9B**Sector: **Technology**Industry: **Semiconductors**Total Return to Base Target Price: **11.6%**Base Price Target Market Capitalization: **\$82.9B**Average Volume: **25.918M shares**Average Beta: **2.40x**Primary Exchange: **NASDAQ**

Key Financial Metrics - Base Price Target

Annual	2026E	2027E
Revenue	\$61.7B	\$95.3B
Operating Income	\$9.6B	\$17.2B
Unlevered FCF	\$11.5B	\$20.1B

Diluted Shares Outstanding (M Shares): **1,650M**

Fiscal Year	Base Price Target FY EPS
2026E	\$5.55
2027E	\$9.77
2028E	\$17.46
2029E	\$30.92
2030E	\$52.82

Revenue

FY22	FY23	FY24	FY25
\$23.60B	\$22.68B	\$25.79B	\$34.64B

Net Income

FY22	FY23	FY24	FY25
\$1.32B	\$0.85B	\$1.64B	\$4.34B

Sources:AMD 10-K| AMDInvestorRelations|BamSec| Business Research Methodology | Word Resources Institute | FinBox | Equity Clock | Statista | Gurufocus | Financial Modelling Prep | Portfoliolab.com| More than Moore| Investopedia |Yahoo Finance | © Theta Trading Corporation 2026

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- AMD's CEO Dr. Su also reiterated that she expects AMD's data center AI business to scale from around \$16B in sales to "tens of billions of dollars of annual revenue over the coming years."
- Given the projected expansion of the AI accelerator market and AMD's increasing penetration within hyperscale AI infrastructure, the company's data center GPU business could potentially sustain a high long-term growth trajectory.
- Furthermore, AMD is the second biggest player in the GPU space, behind Nvidia.
- As per its annual financials, AMD's data center business comprises around 61% (FY24: 48%) of the company's overall sales.
- During FY25, AMD's data center revenue increased by 32% YoY due to strong sales of both of its Instinct GPU and EPYC server processors.
- As per its earnings call, AMD may also be experiencing a solid pull for its server and enterprise deployments from the likes of Microsoft, Alphabet, Amazon, Alibaba, Dell, Cisco, Visa, etc. As they may be increasingly used in cloud and enterprise servers.
- The company said that CPUs have become a very critical part of data center infrastructure as they are needed for orchestration, data processing, inference coordination, and agentic AI workloads.
- As per Mercury Research, AMD's server CPU revenue share increased to 39.4% during Q1 2025, compared to 36.4% in Q4 2024 and 33.0% in Q1 2024, supported by continued adoption of EPYC processors across cloud and enterprise customers.
- Therefore, in our opinion, several factors point to AMD's expanding market penetration in the AI data center and CPU server market, which may significantly contribute to increasing its revenues and bottomline.

AMD's Client Segment

- AMD's Client segment continues to benefit from growing demand for high-performance desktop and notebook processors across both consumer and commercial markets.
- The company is expanding its Ryzen AI processor portfolio targeting the emerging AI PC market, which integrates on-device AI capabilities for productivity, content creation, and enterprise workloads.
- As per Mercury Research, AMD continued gaining server and mobile CPU market share during 2025, supported by strong adoption of its Ryzen processor lineup across consumer and enterprise channels. (Graph 5,6)
- Furthermore, AMD's integration of dedicated AI engines and improved power efficiency within its Ryzen processors may provide differentiation within the competitive PC processor market.
- Therefore, in our opinion, AMD's Client segment could continue contributing meaningfully to the company's long-term revenue growth and margin expansion.

Products & Services Overview

AMD's products and services offered are divided into four reportable segments:

1. **Data Center Segment**
2. **Client Segment**
3. **Gaming Segment**
4. **Embedded Segment**

1. Data Center Segment

AMD's Data Center Segment addresses the computational data, visual data, and AI workload acceleration needs in the data center market (AMD 10-K). Products within the segment include server-class Central Processing Units (CPUs), Graphic Processing Units (GPUs), AI Accelerators, Data Processing Units (DPUs), Field Programming Gate Arrays (FPGAs), SmartNICs and Adaptive System on Chips (SoCs).

2. Client Segment

AMD's Client Segment is made up of computing platforms consisting of CPUs, chipsets and GPUs (either as discrete GPUs or integrated into an Accelerated Processing Unit (APU) or SoC) that work together at the system level for end users (AMD 10-K). In addition, AMD also sells its own combined platform consisting of all the key platform components. Products range from Desktop CPUs, Notebook CPUs, Commercial CPUs and Chipsets all based on the x86 instruction set architecture and the AMD Infinity Fabric.

3. Gaming Segment

AMD develops its graphics products for use in various computing devices and entertainment platforms, including desktop PCs, notebook PCs, All-in-Ones (AIOs), professional workstations, and the data center (AMD 10-K). AMD has developed AMD RDNA 3, a high performing and power efficient graphics architecture, which serves as the foundation for next-generation PC gaming graphics

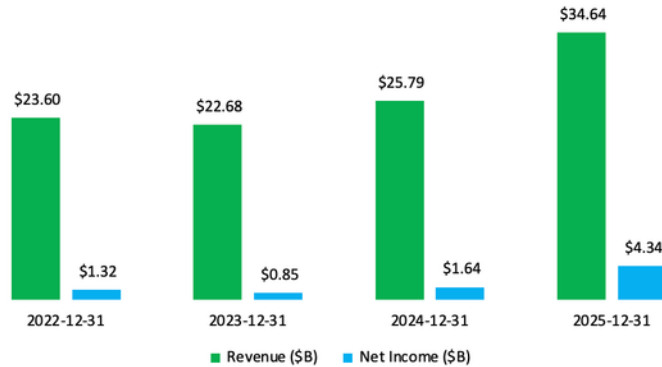
Sources: AMD 10-K | AMD Investor Relations | BamSec | Business Research Methodology | Word Resources Institute | FinBox | Equity Clock | Statista | Gurufocus | Financial Modelling Prep | Investopedia | More than Moore | Yahoo Finance | © Theta Trading Corporation 2026

architecture. Products include SOC products used to power PlayStation and Xbox, Discrete Desktop and Notebook GPUs, as well as Professional GPUs.

4. Embedded Segment

AMD's Embedded products address computing needs in automotive, industrial, test, measurement, emulation, medical, multimedia, aerospace, defense, communications, networking, security, and storage markets as well as thin clients, which are computers that serve as an access device on a network (AMD 10-K). High-performance computing may be important in embedded systems and includes embedded CPUs, GPUs, APUs, FPGAs, and Adaptive SoC products.

Financial & Valuation Analysis



- **During FY25, AMD's revenue increased by 34% and amounted to \$34.6B (FY24: \$25.8B).**
- The growth in revenue is attributed to the increase in AMD's Data Center, Client, and Gaming segments. Meanwhile, revenue from the company's Embedded divisions declined YoY.
- AMD's Data Center revenue increased to \$16.6B (FY24: \$12.6B) in 2025 translating into a growth of 32%. The growth in sales was primarily fueled by stronger sales of AMD Instinct GPUs and AMD EPYC CPUs (Exhibit 4).
- The company's Client revenue increased by 51% to \$10.6B (FY24: \$7.1B) in 2025 due to a 31% increase in unit shipments and a 15% increase in average selling price (ASP) driven by strong demand for AMD mobile and desktop Ryzen processors (Exhibit 5).
- AMD's Gaming revenue increased by 51% to \$3.9B (FY24: \$2.6B) in 2025. The increase was primarily driven by higher semi-custom revenue and strong demand of its Radeon gaming GPUs.
- Lastly, AMD's Embedded revenue declined by 3% to \$3.5B (FY24: \$3.6B) in 2025. The decrease was due to reduced demand as customers continued to adjust and normalize their inventory levels.
- The company's gross margin also improved to 50% (FY24: 49%) on account of a more favourable sales mix with a higher share of data center and client service revenue.
- As a consequence, of higher revenue and margins, AMD's earnings per share (EPS) was also reported higher at \$2.65 per share (FY24: \$1.00 per share).
- For FY26 and beyond, AMD's revenue is projected to grow in double-digits primarily due to growth in the company's AI offerings pertaining to its data center business, including both GPUs and CPUs and also its client segment.
- Furthermore, with the company's focus on further accelerating the adoption of AI technology in its product offerings, in our opinion, the growth may be sustainable.
- Going forward, AMD's gross margins could be projected to improve on account of a more favourable revenue mix.
- Lastly, AMD's net profits and EPS may be projected to increase YoY primarily owing to an increase in the quantum of sales and improving gross margin mitigating the impact of higher operating expenses and taxation costs.

Valuation Analysis

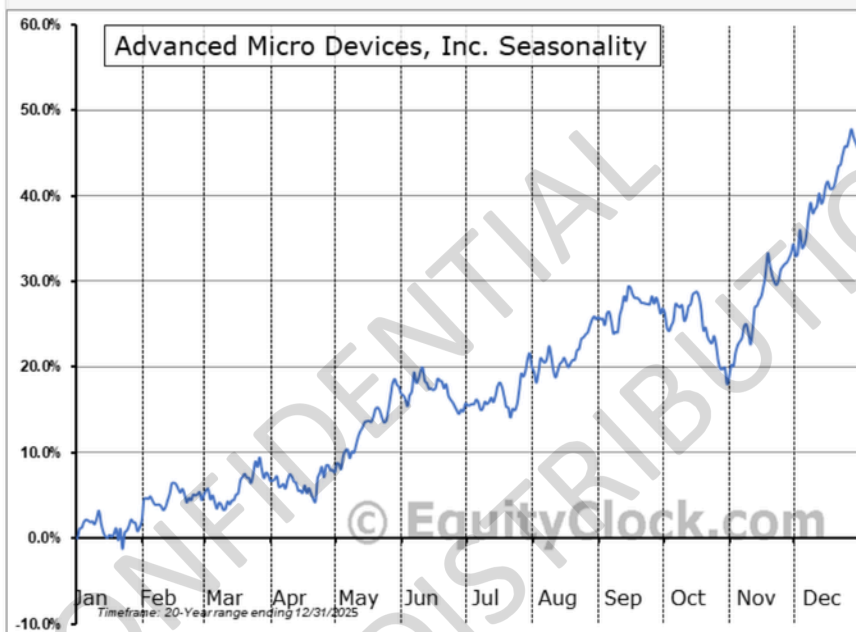
- AMD's Base and Bull price targets are primarily based on its revenue growth drivers.
- AMD's FCFs are projected to grow at a CAGR of 86% between 2025-30, while EBITDA is projected to grow at a CAGR of 78% during the same period.
- AMD's Fwd Price-to-Earnings (PE) multiple is assumed at 55x.
- Being a high-growth company, AMD's terminal FCF growth rate is assumed to be 4%.

Appendix

Exhibit 1: Seasonality

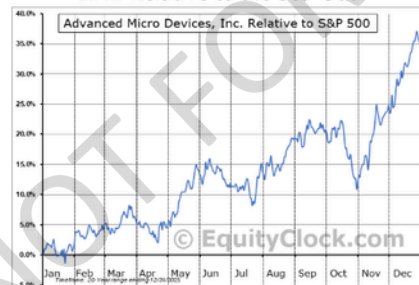
ADVANCED MICRO DEVICES, INC. (NASDAQ:AMD) SEASONAL CHART

Arithmetic Average Seasonal Chart



Geometric Average Seasonal Chart

AMD Relative to the S&P 500



AMD Relative to the Sector



Monthly Averages for AMD over past 20 years:

	Jan.	Feb.	Mar.	Apr.	May	June	July	Aug.	Sep.	Oct.	Nov.	Dec.
% Return	2.0%	3.6%	1.9%	0.9%	8.1%	-1.1%	2.4%	4.2%	-1.5%	-4.2%	8.1%	2.4%
Gain Frequency	50%	45%	50%	55%	60%	50%	55%	50%	30%	35%	60%	40%
Max Return	36.6%	39.4%	39.9%	24.6%	41.8%	28.1%	47.2%	49.4%	29.8%	58.3%	52.4%	38.1%
	2006	2017	2009	2016	2013	2025	2020	2008	2009	2025	2009	2009
Min Return	-23.6%	-13.9%	-18.3%	-21.8%	-17.4%	-24.9%	-29.1%	-25.1%	-25.6%	-41.0%	-32.6%	-23.2%
	2007	2025	2008	2022	2012	2022	2012	2010	2011	2018	2008	2007

Appendix

Exhibit 2: AMD Quarterly Revenue per Group

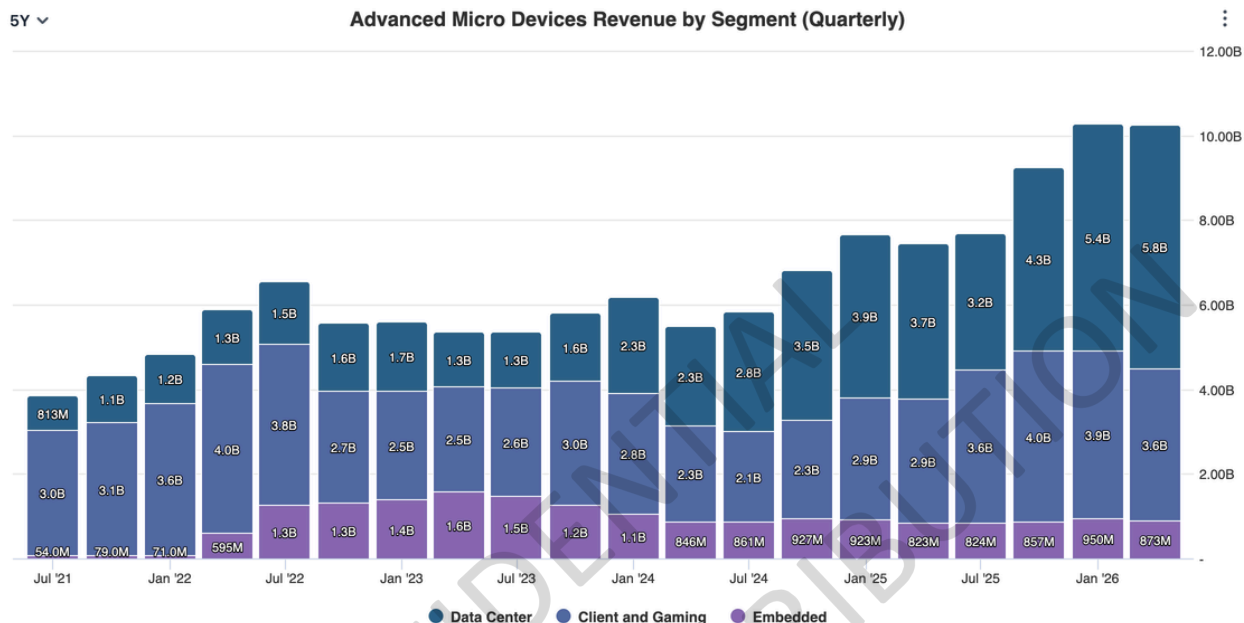
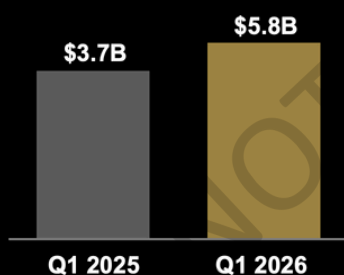


Exhibit 3: AMD 's Data Center segment

Q1 2026 Data Center Segment

Revenue



Q1 2025

Q1 2026

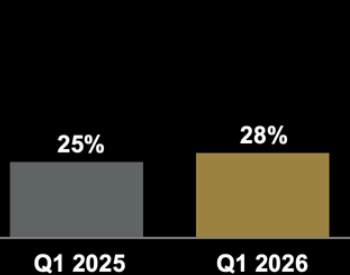
Revenue

\$5.8 Billion

Up 57% y/y

Driven by strong demand for AMD EPYC™ processors and AMD Instinct™ GPUs

Operating Margin



Q1 2025

Q1 2026

Operating Income

\$1.6 Billion

vs. \$0.9 Billion a year ago

Driven by higher revenue partially offset by higher operating expenses

Strategic Highlights

AMD EPYC AMD INSTINCT AMD PENSANDO

- Meta plans to deploy up to 6 GW of AMD Instinct™ GPUs, with the first 1-GW deployment powered by a custom AMD Instinct MI450-based GPU. Meta will also be a lead customer for 6th Gen AMD EPYC™ CPUs.
- AWS, Google Cloud, Microsoft Azure and Tencent announced new and expanded 5th Gen EPYC-powered cloud instances, including Google Cloud H4D VMs for HPC and Azure instances across general-purpose, memory- and compute-optimized workloads.
- In the latest MLPerf® results, AMD Instinct MI355X GPUs delivered strong competitive performance across the full suite, with leadership results in multiple categories.
- Announced EPYC 8005 Server CPUs, delivering leadership performance per-watt-per-dollar for telecommunications and edge environments.
- AMD and Samsung announced a collaboration on HBM4 supply for AMD Instinct MI455X GPUs and advanced DRAM solutions for 6th Gen AMD EPYC CPUs.

Appendix

Exhibit 4: AMD Client segment

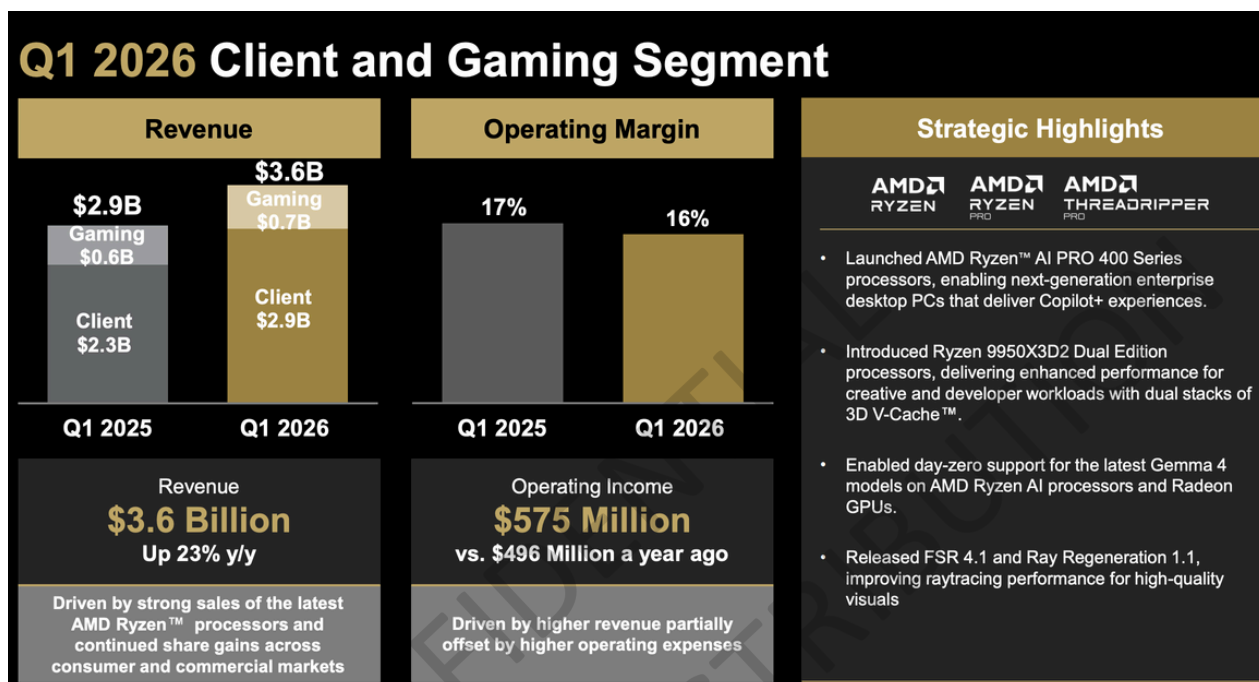
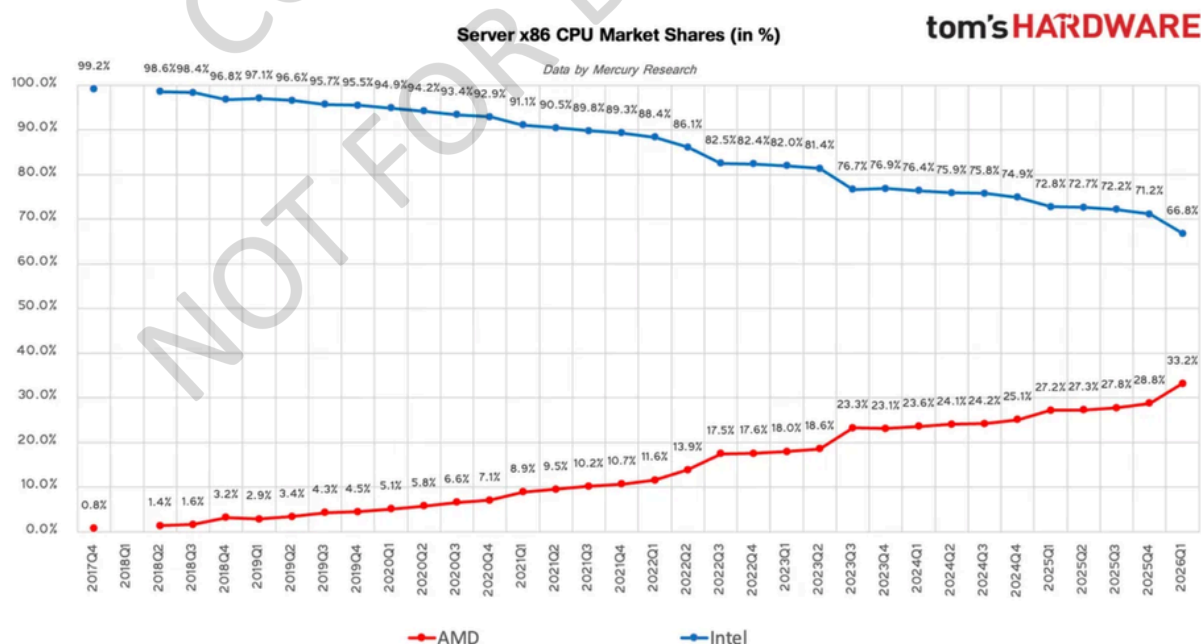


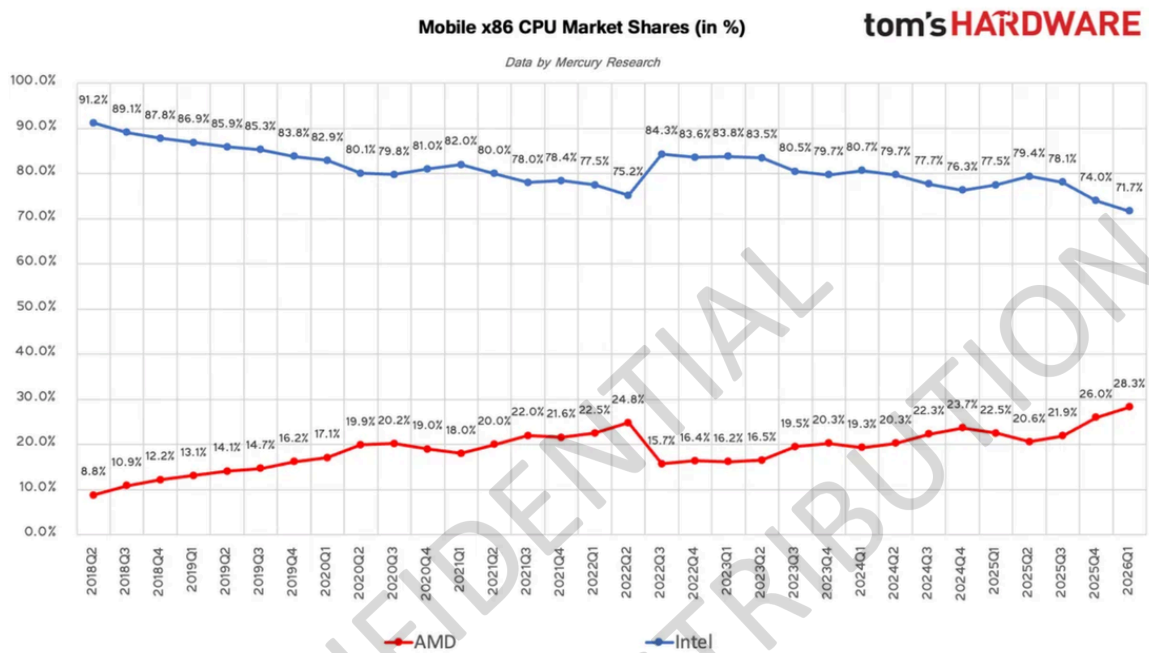
Exhibit 5: AMD Server CPU Market Share



(Image credit: Data by Mercury Research, compiled by Tom's Hardware)

Appendix

Exhibit 6: AMD Mobile CPU Market Share



(Image credit: Data by Mercury Research, compiled by Tom's Hardware)